



ANALYSING TRANSACTIONS

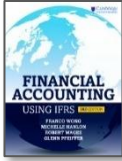
RSM219: INTRODUCTION TO FINANCIAL ACCOUNTING

CLASS NOTES

CONTENTS

WELCOME.....	2
WARM-UP.....	3
ANALYSING TRANSACTIONS	4
KEY POINT We use the accounting equation to analyse transactions & events	4
EXERCISE: Total Health Ltd. (THL)	5
July transactions (mapping)	6
August transactions (mapping).....	10
Adjustments on August 31	14
APPENDIX 1: ACCOUNTING CONVENTIONS (DEBITS & CREDITS)	15
A1.1 We can use debits and credits to communicate impact on financial statement accounts	15
A1.2 We can use journal entries to record transactions as debits and credits	16
APPENDIX 2: THL FINANCIAL STATEMENTS.....	17
NOTES AND REFLECTIONS.....	18

WELCOME



FOUNDATIONS

Class 1

Introducing financial accounting

Class 2

Conceptual framework

Class 3

Analysing transactions (1/2)

Class 4

Analysing transactions (2/2)

ANALYSIS

Class 5

Reporting and analysing cash flows

Class 6

Analysing and interpreting financial statements

OPERATIONS

Class 7

Revenues & receivables

Class 8

Inventories and current liabilities

INVESTING & FINANCING

Class 9

Long-term operating assets

Class 10

Financial investments

Class 11

Debt and equity
Course review

CLASSWORK (~ 5 to 8 hours)

BEFORE CLASS (~ 1.5 hours):

- ☐ (60 min) Read the textbook relating to the learning outcomes for this class. Focus on pp. 45-49, 52-57.
- ☐ (30 min) Prepare "rough" point-form answers to the exercises. Be ready to discuss your ideas (and prepare your questions).

CLASS (~ 2 hours):

- ☐ Attend the lecture and ask clarifying questions.

AFTER CLASS (~ 1 to 3 hours):

- ☐ (10-30 min) Debrief the key concepts and workbook notes.
- ☐ (30-90 min) Work through the practice questions/problems.
- ☐ (30-90 min) Clarify remaining topics by reading the textbook and posting any remaining questions to [discussion board](#).

TUTORIAL (~ 1 hour):

- ☐ (60 min) Attend the tutorial session and clarify concepts.

ONGOING WORK (~ 0.5 hours)

- ☐ (30 min) Submit the Weekly Assignment on [Quercus](#).

LEARNING OUTCOMES (LOs)

READINGS: Ch. 2 (pp. 38-67)

- ☐ LO1 | Describe and construct the balance sheet and understand how it can be used for analysis. (pp. 40-45)
- ☐ LO2 | Use the financial statement effects template (FSET) to analyse transactions. (pp. 45-49)
- ☐ LO3 | Describe and construct the income statement and discuss how it can be used to evaluate management performance. (pp. 49-50)
- ☐ LO4 | Explain revenue recognition, accrual accounting, and their effects on retained earnings. (pp. 50-56)
- ☐ LO5 | Illustrate equity transactions and the statement of changes in equity. (pp. 56-57)
- ☐ LO6 | Use journal entries and T-accounts to analyse and record transactions. (pp. 57-65)

READINGS (for class 4): Ch. 3 (pp. 94-114, 117-118)

- ☐ LO1 | Identify the major steps in the accounting cycle. (pp. 94-95)
- ☐ LO2 | Review the process of journalising and posting transactions. (pp. 95-101)
- ☐ LO3 | Describe the adjusting process and illustrate adjusting entries. (pp. 101-110)
- ☐ LO4 | Prepare financial statements from adjusted accounts. (pp. 110-114)
- ☐ LO6 | Analyse changes in balance sheet accounts. (pp. 117-118)

WARM-UP

Financial statement analysis – four lenses:

1.

STRATEGIC

Identify profit potential & business risks
2.

ACCOUNTING

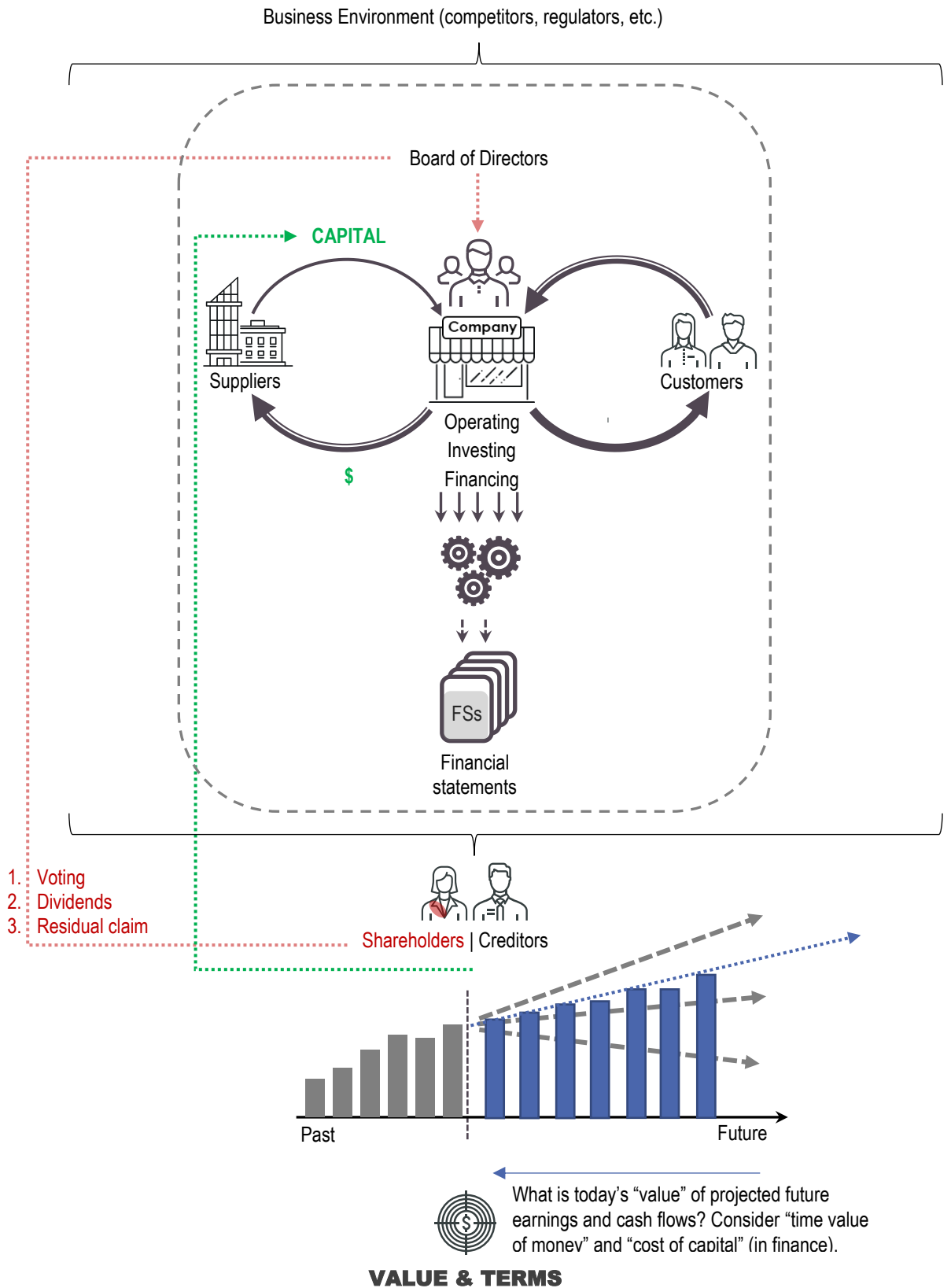
Evaluate quality & adjust to “reality”
3.

FINANCIAL

Evaluate performance, risk, & sustainability
4.

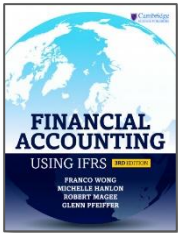
PROSPECTIVE

Forecast & value



ANALYSING TRANSACTIONS

KEY POINT | We use the accounting equation to analyse transactions & events



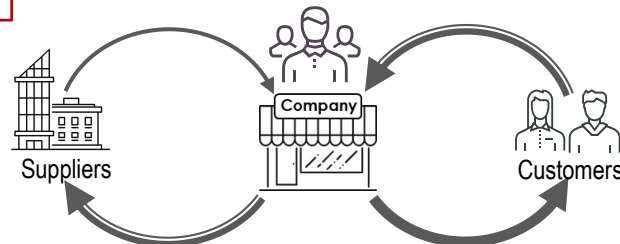
Chapter 2 | LOs 2, 4, and 5

- ☐ Use the financial statement effects template (FSET) to analyse transactions. (pp. 45-49)
- ☐ Explain revenue recognition, accrual accounting, and their effects on retained earnings. (pp. 50-56)
- ☐ Illustrate equity transactions and the statement of changes in equity. (pp. 56-57)

Process for understanding the impact of specific decisions, transactions, and events:

- ☐ **Use the basic accounting equation** to analyze the impact of transactions, events, and decisions on the financial statements. You can use the following steps:
 1. **Deeply understand the transaction, event, or decision.** What are the motivations or intentions behind it? What are the contractual or legal implications? Focus on the underlying economic and legal features and implications; don't worry about "accounting" at this stage. It is helpful to visualize what is "given up" and what is "received" in a transaction. If some part of the transaction happens in the future, then drawing a timeline can be very helpful.
 2. **Map the transaction, event, or decision to the accounting equation.** Remember the key definitions of all financial statement elements and work from left to right (i.e., start with assets, then consider liabilities, and finally review the impact on residual equity – if any).
- ☐ **Transactions are recorded as they happen.** They are also reviewed at the end of each reporting period and adjusted as needed.

STEP 1: Deeply understand



STEP 2: Map to the accounting equation

ASSETS

FUTURE: expected benefit
PRESENT: control (right)
PAST: events

Current assets:

- ☐ Cash
- ☐ Accounts receivable
- ☐ Investments
- ☐ Inventory
- ☐ Prepaid expenses

Noncurrent assets:

- ☐ Investments
- ☐ Property, plant, and equipment (PPE)
- ☐ Intangible assets
- ☐ Goodwill

= LIABILITIES

FUTURE: expected outflow
PRESENT: obligation
PAST: events

Current liabilities:

- ☐ Accounts payable
- ☐ Accrued liabilities
- ☐ Short-term borrowings
- ☐ Deferred revenues
- ☐ Current part of long-term debt

Noncurrent liabilities:

- ☐ Long-term debt
- ☐ Other long-term liabilities

+ EQUITY

or "NET ASSETS" = ASSETS – LIABILITIES
 Can be **contributed** or **earned**

Contributed:

- ☐ Share capital (capital stock)
- ☐ Contributed surplus
- ☐ Treasury shares

Earned:

- ☐ **Retained earnings (or Accumulated Surplus)**
 - = Retained earnings (start of period)
 - + Earnings (i.e., net income = revenues - expenses)
 - Distributions (e.g., dividends)
- ☐ Accumulated other comprehensive income (AOCI)

EXERCISE: Total Health Ltd. (THL)

EXERCISE: Total Health Ltd. (THL)

Total Health Ltd. is a new company selling health and fitness products.

REQUIRED: Analyse the transactions below. Map the impact of each transaction (and any required adjustments) to the accounting equation.

July Transactions

Ref.	Description
1.1	On July 1, investors contributed \$10,000 in cash to start Total Health Ltd. (THL). In exchange, they received 500 common shares.
1.2	On July 15, THL purchased \$3,000 of inventory "on account", agreeing to pay the supplier within 30 days.
1.3	On July 31, Total Health Ltd. (THL) purchased equipment costing \$6,000 and paid cash. The equipment is expected to be used for 5 years and have no residual value at the end of that time.
1.4	To help finance the equipment purchase, THL borrowed \$6,000 on July 31. THL will pay back the loan after five years. In addition, THL must pay monthly interest of \$50. The first interest payment must be made on September 1, and it covers the interest relating to the month of August.

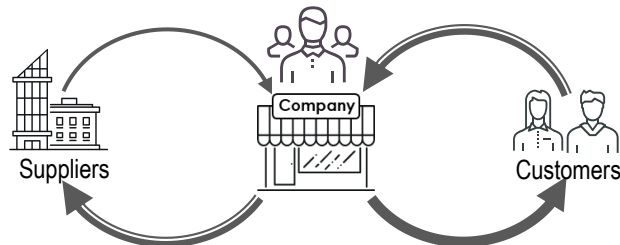
August Transactions

Ref.	Description
2.1	On August 1, THL signed a rental agreement for a small pop-up shop in a busy mall. The agreement calls for monthly payments of \$1,000 at the start of each month. The first payment was made at the time of signing.
2.2	Rental agreement (described in 2.1 above) also required a refundable damage deposit of \$1,500. Deposit was also paid at signing.
2.3	On August 15, THL paid for all inventory purchased on July 15 (inventory originally had a cost of \$3,000, and none of it was paid at the time of purchase).
2.4	On August 20, THL paid \$1,000 for an advertisement that appeared in the local newspaper on August 25.
2.5	During the month of August, THL made retail sales of \$8,500. The cost of inventory relating to these sales was \$2,200. All sales were made by cash or credit card, with \$300 of credit card sales still outstanding on August 31.
2.6	At the end of August, THL paid \$3,000 in wages to the various part-time staff working in the store during the month of August. There were no unpaid wages at the end of August.
2.7	At the end of August, THL was able to secure a corporate order for promotional wellness products. The customer put down a \$1,000 deposit and will pay the remaining \$1,500 when products are delivered on September 10 th .
2.8	On August 31, THL declared and paid out \$1,000 in dividends.

July transactions (mapping)

1.1 On July 1, investors contributed \$10,000 in cash to start Total Health Ltd. (THL). In exchange, they received 500 common shares.

STEP 1: Deeply understand



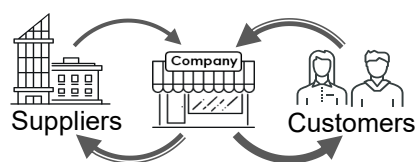
STEP 2: Map to the accounting equation

ASSETS	=	LIABILITIES	+	EQUITY
FUTURE: expected benefit PRESENT: control (right) PAST: events		FUTURE: expected outflow PRESENT: obligation PAST: events		or "NET ASSETS" = ASSETS – LIABILITIES Can be contributed or earned
Current assets: ☐ Cash ☐ Accounts receivable ☐ Investments ☐ Inventory ☐ Prepaid expenses		Current liabilities: ☐ Accounts payable ☐ Accrued liabilities ☐ Short-term borrowings ☐ Deferred revenues ☐ Current part of long-term debt		Contributed: ☐ Share capital (capital stock) ☐ Contributed surplus ☐ Treasury shares
Noncurrent assets: ☐ Investments ☐ Property, plant, and equipment (PPE) ☐ Intangible assets ☐ Goodwill		Noncurrent liabilities: ☐ Long-term debt ☐ Other long-term liabilities		Earned: ☐ Retained earnings (or Accumulated Surplus) = Retained earnings (start of period) + Earnings (i.e., net income = revenues - expenses) - Distributions (e.g., dividends) ☐ Accumulated other comprehensive income (AOCI)

Balance Sheet									Income Statement				
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
\$10,000 Financing inflow	+	N/A	=	N/A	+	\$10,000 Share Capital	+	N/A	N/A	-	N/A	=	N/A

Investors contributed \$10,000 in cash, which increased THL's cash asset and created \$10,000 of contributed equity by issuing 500 common shares. This change in equity is considered "contributed" because it comes directly from investors rather than from the company's operations.

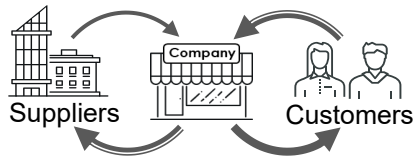
1.2 On July 15, THL purchased \$3,000 of inventory “on account”, agreeing to pay the supplier within 30 days.



Balance Sheet									Income Statement				
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
N/A	+	\$3,000 Inventory	=	\$3,000 Accounts Payable	+	N/A	+	N/A	N/A	-	N/A	=	N/A

THL's purchase increased its inventory asset by \$3,000 and simultaneously increased its liabilities by \$3,000 (accounts payable) since the payment is deferred. As both assets and liabilities increase by the same amount, there is no immediate effect on equity, meaning neither contributed nor earned equity is affected by this transaction.

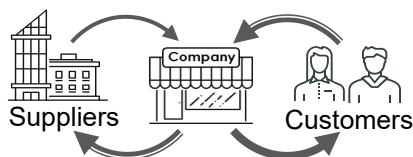
1.3 On July 31, Total Health Ltd. (THL) purchased equipment costing \$6,000 and paid cash. The equipment is expected to be used for 5 years and have no residual value at the end of that time.



Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
\$(6,000) <i>Investing outflow</i>	+	\$6,000 Equipment	=	N/A	+	N/A	+	N/A	N/A	-	N/A	=	N/A

THL acquired equipment with a cash payment of \$6,000, which increased its long-term assets. Although the equipment will be allocated (i.e., “depreciated”) over its 5-year life, this acquisition itself does not affect equity since it merely converts one asset (cash) into another asset (equipment). No contributed or earned equity is involved in this asset acquisition; it simply reflects the purchase of a productive asset.

1.4 To help finance the equipment purchase, THL borrowed \$6,000 on July 31. THL will pay back the loan after five years. In addition, THL must pay monthly interest of \$50. The first interest payment must be made on September 1, and it covers the interest relating to the month of August.

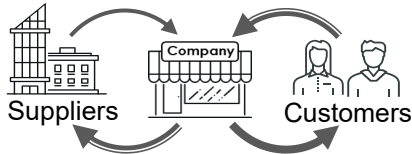


Balance Sheet									Income Statement				
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
\$6,000 <i>Financing inflow</i>	+	N/A	=	\$6,000 Bank Loan	+	N/A	+	N/A	N/A	-	N/A	=	N/A

THL financed the equipment purchase by taking out a bank loan and received \$6,000 in cash. This increased its liabilities by \$6,000. Notice that the liability offsets the inflow of cash, leaving the equity equation unaffected. As time passes, THL will owe more for interest (i.e. "rental fee" for money). This will be recognized over time.

August transactions (mapping)

2.1 On August 1, THL signed a rental agreement for a small pop-up shop in a busy mall. The agreement calls for monthly payments of \$1,000 at the start of each month. The first payment was made at the time of signing.

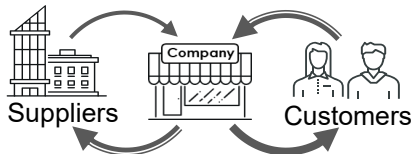


Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
(\$1,000)		\$1,000											
Operating outflow	+	Prepaid rent	=	N/A	+	N/A	+	N/A	N/A	-	N/A	=	N/A

On August 1, THL paid \$1,000 at the start of the rental period. This is recorded as a prepaid rent asset because it entails the present control of the right to use the space for the coming month—a future economic benefit as a result of a past transaction. Cash (an asset) decreases by \$1,000, while the prepaid rent asset increases by the same amount. There is no immediate effect on equity (contributed or earned).

As the time passes, and the remaining benefit of using the space decreases, this will be recognized as a decrease in earned equity and rent expense (on Aug. 31).

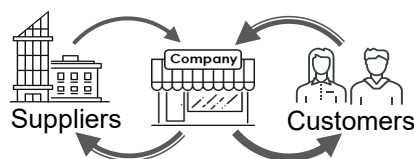
2.2 Rental agreement (described in 2.1 above) also required a refundable damage deposit of \$1,500. Deposit was also paid at signing.



Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
(\$1,500)		\$1,500											
Operating outflow	+	Damage deposit	=	N/A	+	N/A	+	N/A	N/A	-	N/A	=	N/A

On August 1, THL also paid a \$1,500 damage deposit. Although cash (an asset) decreases, this deposit is recorded as an asset because it represents a claim for future benefits—the eventual return of the deposit if no damage occurs. As of August 1, there is no damage, so the full amount is expected to be refunded. This transaction does not affect liabilities or equity. Therefore, there is also no effect on earnings (and hence, no impact on revenues or expenses).

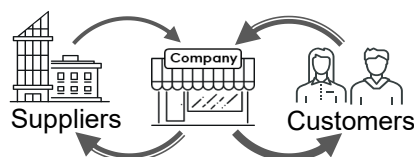
2.3 On August 15, THL paid for all inventory purchased on July 15 (inventory originally had a cost of \$3,000, and none of it was paid at the time of purchase).



Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
(\$3,000) <i>Operating outflow</i>	+	N/A	=	(\$3,000) Accounts payable	+	N/A	+	N/A	N/A	-	N/A	=	N/A

On August 15, THL paid \$3,000 for inventory that was purchased on account (back on July 15). This transaction reduces cash (an asset) while simultaneously reducing accounts payable (a liability) by the same amount. Because both assets and liabilities decrease equally, there is no change in equity. Therefore, there is also no effect on earnings (and hence, no impact on revenues or expenses).

2.4 On August 20, THL paid \$1,000 for an advertisement that appeared in the local newspaper on August 25.



Balance Sheet							Income Statement						
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income

2.4a: to record the payment for the advertisement on August 20

[illegible]

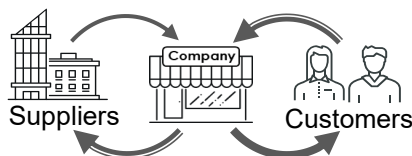
2.4b: to record the completion of the agreement and work completed by the newspaper company

N/A	+	(\$1,000) Prepaid advertising	=	N/A	+	N/A	+	(\$1,000) Retained earnings	=	N/A	-	\$1,000 Advertising expense	=	(\$1,000)
-----	---	----------------------------------	---	-----	---	-----	---	--------------------------------	---	-----	---	--------------------------------	---	-----------

On August 20, THL paid \$1,000 for an advertisement that is scheduled to appear on August 25. Here, cash (an asset) decreases by \$1,000 while a prepaid advertising asset is created, reflecting the company's right to receive the service in the near future. This transaction does not affect liabilities or equity. Therefore, at this time, there is also no effect on earnings (and hence, no impact on revenues or expenses).

On August 25, when the advertisement appears, the prepaid advertising asset is reduced as the newspaper company has fulfilled its obligation. At the same time, we don't report the "asset" relating to the benefit of advertising (e.g., brand recognition, etc.). After all, it is hard to argue that THL has "control" over this benefit – nor the ability to measure it appropriately. This recognition of the advertising expense represents a decrease in earned equity because expenses reduce retained earnings. There is no impact on contributed equity since this change is not from shareholders' investment but from operating activity.

2.5 During the month of August, THL made retail sales of \$8,500. The cost of inventory relating to these sales was \$2,200. All sales were made by cash or credit card, with \$300 of credit card sales still outstanding on August 31.



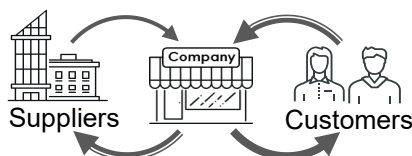
Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
\$8,200 <i>Operating inflow</i>	+	\$300 Accounts receivable	=	N/A	+	N/A	+	\$8,500 Retained earnings	\$8,500	-	(see below)	=	\$8,500
N/A	+	(\$2,200) Inventory	=	N/A	+	N/A	+	(\$2,200) Retained earnings	(see above)	-	\$2,200 Cost of goods sold	=	(\$2,200)

Assets increase: cash increases by \$8,200 and receivables increase by remaining \$300 (for simplicity, the outstanding credit-card amount is shown as accounts receivable). Therefore, equity is increased and recognized as earned equity and revenues (in the income statement).

Inventory is sold and therefore removed from the balance sheet. Remember that inventories were originally recorded at cost. THL recognizes the portion sold using the same measurement basis. In this case, the cost of inventory sold was \$2,200, which reduces the inventory balance by the same amount. This results in a decrease in earned equity (retained earnings) and is recorded as cost of goods sold (expense). Note that there is no effect on contributed equity because these changes arise from operations, rather than from direct transactions with shareholders.

Gross profit = revenues – COGS = \$8,500 - \$2,200 = \$6,300. Gross profit percentage = gross profit / revenues = \$6,300 / \$8,500 = ~74%.

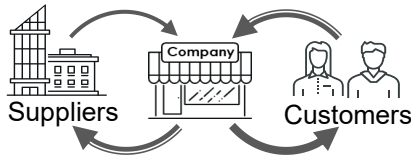
2.6 At the end of August, THL paid \$3,000 in wages to the various part-time staff working in the store during the month of August. There were no unpaid wages at the end of August.



Balance Sheet									Income Statement				
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
(\$3,000)								(\$3,000)			\$3,000		
Operating outflow	+	N/A	=	N/A	+	N/A	+	Retained earnings	N/A	-	Wages expense	=	(\$3,000)

At the end of August, THL paid \$3,000 in wages. This payment reduces cash (an asset) and is recorded as decrease in earned equity – reducing retained earnings. This is shown on the income statement as \$3,000 expense (labels may vary). No contributed equity is affected because the cost arises from operational activities rather than direct transaction with shareholders.

2.7 At the end of August, THL was able to secure a corporate order for promotional wellness products. The customer put down a \$1,000 deposit and will pay the remaining \$1,500 when products are delivered on September 10.

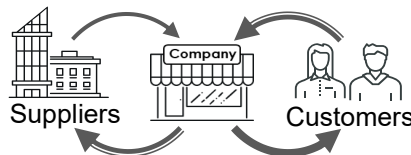


Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
\$1,000 <i>Operating inflow</i>	+	N/A	=	\$1,000 Unearned revenue	+	N/A	+	N/A	N/A	-	N/A	=	N/A

On August 31, THL received a \$1,000 deposit from a customer relating to a future delivery. The cash asset increases by \$1,000 while a liability (a customer deposit) is created, reflecting THL's obligation to deliver products later. This contract liability is called "unearned revenue" or "deferred revenue". Since the revenue is not yet earned, there is no impact on earned or contributed equity at this point.

The remaining \$1,500 is not recorded because the contract remains executory (or mutually unexecuted) with respect to that portion. Under an executory contract, neither party has fully performed their respective obligations - THL has not yet delivered the product, and the customer has not yet paid the remaining balance. In accrual accounting, revenue (and the corresponding increase in earned equity) is recognized only when performance obligation is satisfied. Therefore, the \$1,500 will not be recorded until THL fulfills its obligation by delivering the product on September 10th.

2.8 On August 31, THL declared and paid out \$1,000 in dividends.



Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
(\$1,000) <i>Financing outflow</i>	+	N/A	=	N/A	+	N/A	+	(\$1,000) Retained earnings	N/A	-	N/A	=	N/A

Also on August 31, THL declared and paid \$1,000 in dividends. This reduces cash (an asset), and decreases retained earnings (earned equity) because dividends represent a distribution of prior earnings to shareholders. No contributed equity is affected, as dividends are a return of profits.

Adjustments on August 31

ADJ-1: EQUIPMENT

Recognize the use of the equipment for 1 month and therefore record the appropriate depreciation for 1 month.

Balance Sheet										Income Statement					
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
N/A	+	N/A	-	\$100 Accumulated Depreciation	=	N/A	+	N/A	+	(\$100) Retained earnings	N/A	-	\$100 Depreciation expense	=	(\$100)

When THL purchased the equipment for \$6,000, it expected to benefit from that asset for five years (60 months). Accounting matches the cost of the equipment to the periods that receive those benefits. Under the straight-line method, this means allocating one-sixtieth of the cost (\$6,000 / 60 months), or \$100, to each month. At the end of the first month, August, one month has elapsed and only 59 months remain. Instead of reducing the Equipment account itself, THL records the used-up cost in a separate account called Accumulated Depreciation. Accumulated Depreciation is a “contra-asset”, leaving the historical cost visible while tracking how much of that cost has expired. On August 31:

- ☐ Equipment remains at its historical cost of \$6,000
- ☐ Accumulated Depreciation increases to \$100.
- ☐ The net carrying amount of the equipment is therefore \$5,900 (\$6,000 – \$100). This is often what shows up on the balance sheet.

Because liabilities remain unchanged, this decrease in net assets reduces equity by \$100. This reduction in equity is recorded in earned equity as a reduction in retained earnings. On the income statement, this is shown as depreciation expense, which reflects the consumption of the asset's benefits over time.

ADJ-2: INTEREST

Recognize the passage of time and the “charge” for interest (as “fee for renting money”) relating to August.

Balance Sheet										Income Statement					
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
N/A	+	N/A	-	N/A	=	\$50 Interest payable	+	N/A	+	(\$50) Retained earnings	N/A	-	\$50 Interest expense	=	(\$50)

THL borrowed \$6,000 from the bank on July 31 and didn't pay any interest during August. After all, interest for August is due on September 1. Even though the payment is due on September 1, THL has an existing obligation to make the payment. Therefore, an interest payable liability is increased by \$50. Since no cash (asset) is reduced at this time and liabilities increase by \$50, the net effect is a \$50 decrease in equity (assets minus liabilities). This decrease in earned equity is recorded as a reduction in retained earnings, and on the income statement as interest expense. Thus, even though no cash payment occurs, the accrual of interest creates a liability and recognition of interest expense.

ADJ-3: RENT

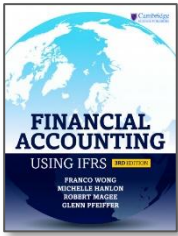
Recognize the passage of time and the “charge” for the use of space (i.e. rent) relating to August.

Balance Sheet										Income Statement					
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
N/A	+	(\$1,000) Prepaid rent	-	N/A	=	N/A	+	N/A	+	(\$1,000) Retained earnings	N/A	-	\$1,000 Rent expense	=	(\$1,000)

When THL originally paid for rent on August 1st, it recorded a \$1,000 prepaid rent asset. This represented the right to use the space during August. As days passed, the economic benefit was consumed, resulting in fewer remaining days to use the space in August. At the end of August, there is no remaining benefit - as the month has passed. The entire \$1,000 benefit associated with the prepaid rent has been consumed. This consumption reduces the prepaid rent asset by \$1,000. Because liabilities remain unchanged, equity decreases by the same amount. The \$1,000 decrease in earned equity is recorded as retained earnings, and also as rent expense on the income statement. The rent expense reflects the use of the prepaid benefit over the rental period. Therefore, the decrease in the prepaid asset directly translates into lower equity and an expense on the income statement.

APPENDIX 1: ACCOUNTING CONVENTIONS (DEBITS & CREDITS)

A1.1 | We can use debits and credits to communicate impact on financial statement accounts



Chapter 2 | LO 6

- Use journal entries and T-accounts to analyse and record transactions (pp. 57-65)

Debits and Credits: Debits and credits come down to us from the merchant bookkeeping of Renaissance Italy. At first the terms were personal, because ledgers tracked people (a debtor owed the business, and a creditor was owed by it). As accounting grew to cover impersonal accounts like cash and inventory, those meanings faded into pure convention:

- By convention, **assets hold debit balances** while **liabilities and equity hold credit balances**.
- Used as verbs, **debits increase assets** while credits decrease them. The reverse is true for liabilities and equity: **credits increase liabilities and equity**, while debits decrease them.
- Revenues** increase equity, so they **have credit balances**. **Expenses** decrease equity so they **have debit balances**.

Balance Sheet							Income Statement						
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
ASSETS				LIABILITIES		+	EQUITY		Increases Equity		Decreases Equity		
DEBIT balance				CREDIT balance					CREDIT balance		DEBIT balance		

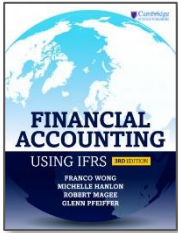
EXERCISE A1.1: Map the debits and credits

REFLECT: Map the following transaction to the financial statements effects template (FSET) and then communicate the impact on financial statement accounts using “debits” and “credits”.

1.1 On July 1st, investors contributed \$10,000 in cash to start Total Health Ltd. (THL). In exchange, they received 500 common shares.

Balance Sheet							Income Statement						
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income
\$10,000 <i>Financing inflow</i>	+	N/A	=	N/A	+	\$10,000 Share Capital	+	N/A	N/A	-	N/A	=	N/A
													
DEBIT			CREDIT					CREDIT	DEBIT				

A1.2 | We can use journal entries to record transactions as debits and credits



Chapter 2 | LO 6

- Use journal entries and T-accounts to analyse and record transactions (pp. 57-65)

Journal entries:

- Each journal entry is a **dated record of a single financial event written as debits and credits** (e.g., a transaction such as a sale, or an adjustment such as recording depreciation).
- Journal entries were used as early paper journals, and it remains how accounting software works today. As convention, each entry includes the date of the event in a column on the left, which is what places it in chronological order. **All accounts being debited are written first**, against the left margin. **All accounts being credited are written afterwards and indented to the right**. This indentation is the visual cue that an account is being credited, so the format separates debits from credits without labeling every line. The debit and credit amounts must total the same; an entry that doesn't balance is incomplete. A short description of the event is usually written just beneath the entry.

T-accounts:

- Each T-account shows the activity of a single account in one place**, gathering every debit and credit impacting the account. Named for its "T" shape, it has the account title across the top, with debits collected on the left and credits on the right. The difference between the two sides is the account's ending balance.
- Whereas journal entries list events in the order they happen, T-accounts re-sort those same debits and credits **account by account**, so each one can be totaled to find its balance.



EXERCISE A1.2: Understanding journal entries and T-accounts

REFLECT: Complete the journal entry and T-accounts using the templates below.

1.1 On July 1st, investors contributed \$10,000 in cash to start Total Health Ltd. (THL). In exchange, they received 500 common shares.

Journal entry:

Date	Account & Explanations	Debit	Credit
July 1	Cash (+Assets)	\$10,000	
	Share Capital (+Shareholders' equity)		\$10,000
	<i>Issued 500 common shares</i>		

Debits go first

Credits are indented

Debits go left

Credits go right

T-accounts:

Cash	
Debits	Credits
\$10,000	
\$10,000	

Share Capital	
Debits	Credits
	\$10,000
	\$10,000

APPENDIX 2: THL FINANCIAL STATEMENTS

Total Health Limited Balance Sheet As at August 31	Opening balance, July 31	TRANSACTIONS													Ending balance, August 31
		2.1 Aug. 1	2.2 Aug. 1	2.3 Aug. 15	2.4a Aug. 20	2.4b Aug. 25	2.5a Aug. 31	2.5b Aug. 31	2.6 Aug. 31	2.7 Aug. 31	2.8 Aug. 31	ADJ-1 Aug. 31	ADJ-2 Aug. 31	ADJ-3 Aug. 31	
ASSETS															
Current assets															
Cash	\$ 10,000	(\$ 1,000)	(\$ 1,500)	(\$ 3,000)	(\$ 1,000)		\$ 8,200		(\$ 3,000)	\$ 1,000	(\$ 1,000)				\$ 8,700
Accounts receivable	\$ -						\$ 300								\$ 300
Inventory	\$ 3,000							(\$ 2,200)							\$ 800
Prepays and deposits	\$ -	\$ 1,000	\$ 1,500		\$ 1,000	(\$ 1,000)								(\$ 1,000)	\$ 1,500
Total current assets	\$ 13,000														\$ 11,300
Equipment, at cost	\$ 6,000														\$ 6,000
Less: accumulated depreciation	\$ -											(\$ 100)			(\$ 100)
Equipment, net	\$ 6,000														\$ 5,900
TOTAL ASSETS	\$ 19,000														\$ 17,200
LIABILITIES															
Current liabilities															
Accounts payable	\$ 3,000			(\$ 3,000)											\$ -
Unearned revenue	\$ -									\$ 1,000					\$ 1,000
Interest payable	\$ -												\$ 50		\$ 50
Total current liabilities	\$ 3,000														\$ 1,050
Bank loan	\$ 6,000														\$ 6,000
TOTAL LIABILITIES	\$ 9,000														\$ 7,050
EQUITY															
Share capital	\$ 10,000														\$ 10,000
Retained earnings	\$ -					(\$ 1,000)	\$ 8,500	(\$ 2,200)	(\$ 3,000)		(\$ 1,000)	(\$ 100)	(\$ 50)	(\$ 1,000)	\$ 150
TOTAL EQUITY	\$ 10,000														\$ 10,150
TOTAL LIABILITIES AND EQUITY	\$ 19,000														\$ 17,200

Total Health Limited														
Income Statement														
For the month ended August 31														
	TRANSACTIONS													
	2.1	2.2	2.3	2.4a	2.4b	2.5a	2.5b	2.6	2.7	2.8	ADJ-1	ADJ-2	ADJ-3	
	Aug. 1	Aug. 1	Aug. 15	Aug. 20	Aug. 25	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	
Revenue						\$ 8,500								\$ 8,500
Cost of goods sold							\$ 2,200							\$ 2,200
Gross profit														\$ 6,300
Operating expenses														
Rent expense													\$ 1,000	\$ 1,000
Advertising expense					\$ 1,000									\$ 1,000
Wages expense								\$ 3,000						\$ 3,000
Depreciation expense											\$ 100			\$ 100
Total operating expenses														\$ 5,100
Operating income														\$ 1,200
Interest expense												\$ 50		\$ 50
Net income					(\$ 1,000)	\$ 8,500	(\$ 2,200)	(\$ 3,000)			(\$ 100)	(\$ 50)	(\$ 1,000)	\$ 1,150

Total Health Limited Statement of Shareholders' Equity For the month ended August 31			
	Share capital	Retained earnings	Total
Balance, July 31	\$ 10,000	\$ -	\$ 10,000
Net income for August		\$ 1,150	\$ 1,150
Dividends declared		(\$ 1,000)	(\$ 1,000)
Balance, August 31	\$ 10,000	\$ 150	\$ 10,150

NOTES AND REFLECTIONS

Most important ideas/points:

All registered trademarks and copyrights are the property of their respective owners.